

HALF-YEAR ECONOMIC AND FISCAL UPDATE

31ST JULY 2019

MINISTRY OF FINANCE AND ECONOMIC MANAGEMENT

Fiscal Responsibility

This Half Year Economic and Fiscal Update has been prepared in consistency with the Public Finance and Economic Management Act. The document has been prepared in accordance with the principles of responsible fiscal management as specified in the Act. The contents of the document were finalised on July 31st 2019.



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OVERVIEW

The International Monetary Fund (IMF) global economic growth forecast for the first half of 2019 suggests a further slowdown and precarious recovery in global growth, thus the growth forecast for 2019 has been revised downward by 0.1 percentage points from the April 2019 forecast of 3.3 per cent to the half-year. This is the lowest growth forecast by the IMF for the past three years. This downward revision was predominantly due to advanced economies being negatively affected by trade tensions between the US and China, which have also negatively impacted other economic regions, mostly through trade.

Growth in the Euro area remained moderate, coupled with soft private consumption and weak industrial production in Germany and weak domestic demand and higher borrowing costs in Italy. In addition, France is currently facing the negative impact of street protests and industrial action. The UK projection is stable due to the fiscal stimulus in the 2019 budget offsetting Brexit uncertainty.

Emerging market and developing economies are expected to slow down as China's economy is affected by financial regulatory tightening; trade tensions with the US might resurface despite the on-going trade truce between the two countries.

The domestic economy is projected to register a growth in real GDP of 3.4 per cent in 2019. This reflects both external and domestic socio-economic factors, which have resulted in a downward revision of domestic economic growth from the 3.6 per cent forecast in the 2019 budget. There were downward revisions of growth for 2019 in a few of the major productive sectors, with growth in the agricultural sector forecast at 3.1 per cent, a 0.2 percentage reduction on the 3.3 per cent growth forecast in the 2019 budget. The industrial sector, the driver of economic growth in Vanuatu, is forecast to register growth of 11.7 per cent, a slight increase on the 10.7 per cent growth expected at the time of budget preparation. The growth forecast for the services sector, the largest sector in the domestic economy, is maintained at 2.5 per cent, as expected at the time of budget preparation. The sector is expected to continue experiencing solid growth over the medium term, mainly from positive direct and indirect contributions from tourism-related services, including airport reconstruction and the *Shared Vision 2030*.

To date, the total net operating balance for the Government operations excluding donor funds has recorded a surplus of VT 3,639.9 million which is equivalent to 3.3 per cent of GDP. Within this same period, the fiscal balance for the Government excluding donor financing has recorded a surplus of VT 3,240.6 million.

Government receipts for the first half of 2019 showed a 6.1 per cent increase on the same period last year (Table 1). Revenue from the honorary citizenship programmes, VDSP and VCP in the first six months of 2019 was 16.4 per cent higher than in the first six months of 2018. Government expenditure in the first six months this year was 14.3 per cent higher than in the first six months of 2018.

Table 1 – Summary of fiscal aggregates, excluding donor funds, from 2016 – 19, VT million

	Actuals 2016	Actuals 2017	Actuals 2018	Budget 2019	Actuals Jan- June 2019
Revenue	20,648.2	22,923.1	30,509.3	28,001.3	15,556.7
Expenses	17,808.0	19,390.5	21,966.8	25,937.3	11,916.8
Net Operating Balance (Revenue minus expense)	2,840.2	3,532.6	8,542.5	2,064.0	3,639.9
Acquisition of Non- Financial Assets	596.5	719.6	521.8	3,815.9*	399.4
Net Lending / Borrowing (Net Operating Balance minus net acquisition of nonfinancial assets)	2,243.8	2,812.9	8,020.7	-1,751.8	3,240.6
Net Lending / Borrowing as a percentage of GDP	2.6%	2.8%	7.4%	-1.6%	2.9%

Source: Department of Finance and Treasury

* The Budget 2019 figure for Net Acquisition of Non-Financial Assets includes the VT 2 billion loan from the Government to Air Vanuatu for the purchase of new aeroplanes. This is because the Vanuatu GFS Net Acquisition of Financial Assets is currently calculated as a balancing item.

WORLD ECONOMIC OUTLOOK

The IMF forecast global growth to be 3.2 per cent in 2019 and 3.5 per cent in 2020 in its half year economic outlook 2019, with high risk skewed towards the downside. These are downward revisions from the April forecast due to the continuous socio-economic challenges particularly in the Euro area and somewhat in the US, UK, Latin America, Australia and Canada. Whether growth will pick up thus depends a lot on the outcomes of the challenges experienced by these regions.

The 2019 growth projection for advanced economies was been revised upwards by 0.1 percentage points from 1.8 per cent in the April outlook to 1.9 per cent in the half year economic outlook, whereas the 2020 forecast stayed at 1.7 per cent as in April. The negative effects of tariffs imposed by the United States on Chinese goods and the retaliation from China have contributed to the lower growth expected in the United States in 2019, although this has been revised upwards from 2.3 per cent to 2.6 per cent reflecting stronger than anticipated performance in the first quarter while growth in 2020 is maintained at 1.9 per cent as the fiscal stimulus winds down. Growth in 2020 is forecast to moderate on the back of well-supported accommodative monetary policy. Nonetheless, expectations of strong domestic demand will boost imports, thus worsening the US current account balance. Growth in the Euro area was revised downwards from 1.6 per cent down to 1.3 per cent for 2019 and from 1.7 per cent to 1.6 per cent for 2020.

Growth in emerging markets and developing economies has also been revised downwards from 4.5 per cent to 4.1 per cent for 2019, and from 4.9 per cent to 4.7 per cent for 2020. These downward revisions are primarily due to a downward revision of 0.9 percentage points in the Middle East as geo-political tensions continue to persist along with macroeconomic imbalances from commodity prices in the region. The Chinese economy is projected to grow by 6.2 per cent this year and a further 6.2 per cent

in 2020. These growth rate forecasts are supported by the expected policy stimulus as the Chinese economy currently faces the negative impacts of escalating tariffs and weakening external demand.

The global inflation forecast for 2019 remains muted, accommodated by low commodity prices. Inflation in advanced economies is anticipated to be 1.6 per cent, keeping the same forecast as in the April WEO. The US economy is currently operating above potential output, as a result of strong domestic demand, adding pressure on commodity prices and driving the US inflation forecast of 2.3 per cent. This is expected to be short-lived, after the planned unwind of the fiscal stimulus during the second half of 2019 easing inflationary pressure to normalise at 1.9 per cent in 2020. Core inflation in the Euro area is expected to be 1.3 per cent in 2019 and 1.5 per cent in 2020. Forecasts of inflation in emerging markets and developing economies have moved only slightly, due to relatively stable prices; inflation forecasts for 2019 in most regions have been revised down by 0.1 percentage points compared to the April outlook, to 4.8 per cent.

Despite positive economic growth projections for 2019, global headwinds remained moderately skewed to the downside with much of Asia exposed to cross winds, primarily due to China's effective rate of expansion and its future trade tensions with the United States. In addition, existence of tail winds, including a 'No-Deal Brexit' causes a lot of growth uncertainties in the UK and across the European Union, particularly with the possible socio-economic impacts.

VANUATU ECONOMIC OUTLOOK (VEO) UPDATE

REAL SECTOR UPDATE

The domestic economy has been driven mainly by the industrial sector for the past 3 years, overtaking the services sector which used to be the main growth driver. The growth contribution from the industrial sector comes from the on-going construction activities related to public infrastructure projects.

The domestic economy has been greatly supported by on-going recovery projects associated with TC Pam, boosting real economic production over the post-Pam period to over 3 per cent on average. The recent gross domestic product reported by the Vanuatu National Statistics Office (VNSO) shows that Vanuatu's economy registered a real GDP growth of 4.4 per cent in 2017 owing hugely to infrastructure related activities.

The growth outlook for this year and over the medium term is expected to be more stable, as the major infrastructure projects are now reaching their completion stages. The Macroeconomic Committee (MEC) growth forecast for 2019 is 3.4 per cent, before expanding to 4.0 per cent in 2020, supported mainly by tourism-related services and major upcoming construction activities.

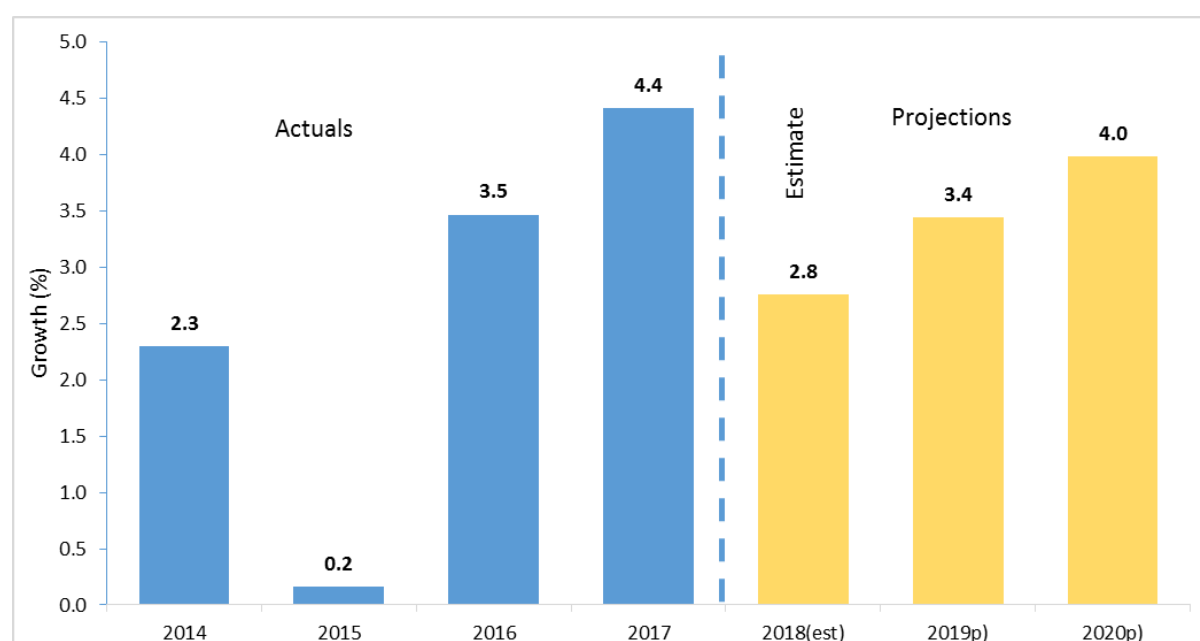
Economic growth is expected to continue to be driven by the industrial sector, particularly public construction. Investments have picked up, reflecting the Government's plans for investment in public infrastructure, while the financial and insurance sector is expected to pick up slightly following the spill-over impacts of construction-related activities.

Activity in the domestic economy continues to be robust, with ongoing public and private projects, strong activity in the tourism industry and increased demand for kava production. This in turn is expected to bring spill-overs to non-financial firms that are well placed to increase investment, boost capacity and increase competitiveness, given their large financial buffers and supportive financial

conditions. Consumption growth is likely to remain solid, with the current Government expansionary fiscal policy operation - increasing salary and allowances for all government employees last year in 2018. The demand for goods and services is expected to increase further in 2019 around public administration offices and population relocation. Demand for land and properties is expected to increase on the islands of Santo and Efate.

Fiscal policy continues to be expansionary, supported by donor partners on publicly-funded projects over the post-Pam reconstruction period. The general government fiscal balance is expected to ease given that the effects of the natural disaster that impacted the island of Ambae are now slowly lessening, with the majority of Ambaeans moving back to their home island. The current expansionary fiscal policy stance is expected to raise domestic demand and boost growth going forward but may also bring temporary inflationary pressure. With public debt gradually rising, it is important to start thinking about unwinding fiscal policy to ease fiscal pressure on public finances in order to maintain debt at a manageable and sustainable ways. The government launched “Vanuatu 2030 – People’s Plan” early in 2017 with the vision for a stable, sustainable and prosperous Vanuatu and has adopted a mentality for diversification under its three main pillars – Society, Environment and Economic to ensure that growth prospects are diversified, resilient, sustainable and inclusive.

Chart 1: Real Gross Domestic Product (in percent change)



Source: National Statistics Office & Macroeconomic Committee (MEC) Estimates

AGGREGATE SUPPLY

The Government’s policy of improving agricultural produce supply chains and increasing the awareness of food security, while targeting the productive sectors, has seen significant growth in the potential for agricultural products and has given confidence back to rural farmers. Farmers have learned to sustain and diversify their produce across the business cycle, given the impact of climate change on their environment. The Government, with the help of donor partners, continues to support smallholder

agricultural farmers through replanting programs such as coconut, cocoa, coffee and kava.

Construction activity in both the public and private sector is expected to remain strong and should continue to drive economic growth going forward. Factors of production and supply links are expected to remain robust, supported by the Government's current replanting programs; rural infrastructure projects, such as new and improved feeder roads, should boost the supply of and trade in goods.

Agriculture Sector

Growth in the agricultural sector is expected to slow in 2019 before accelerating further in 2020. This follows major challenges from low commodity prices and natural disasters in 2018 and 2019.

Major commodities including copra and cocoa were hit hard by the recent TC Hola damage to nut yields. Currently the international price of copra has reached its lowest for the last 14 years, making the gate price in Luganville around VT 19,000 – 22,000 per metric ton. As a consequence of these low prices, copra production continued on a downward trend over the last months of 2018. Thus, the Government through the Council of Ministers approved a budget of VT 150 million late last year for a copra subsidy to raise production, with a further VT 37 million to be used to support value addition projects in the coconut industry. The Government has thus been subsidising copra at VT 10,000 per ton increasing the total gate price to VT 29,000 – 32,000 per ton. However, this has not boosted production as anticipated, due to farmers' high expectations, farmers' ability to switch to more profitable commodities such as kava, and the current challenge of price rises affecting household purchasing power. Exports of copra in the monthly news from VNSO showed that there were no copra exports from February to April of 2019 due to the international price being too low. Over those months, copra buyers and copra exporters preferred to crush the purchased copra selling domestically to UNELCO or exporting coconut oil internationally, which pays a higher premium vis-à-vis copra.

Thanks to the stable price of cocoa since 2018, quantities of cocoa exports have shown positive growth over the final quarter of 2018 after the drop in production in 2017 to early 2018 due to unfavourable weather conditions. TC Hola severely damaged coconut and cocoa trees in the Malekula Metensel cocoa plantation, which hindered the recovery of production in 2018, but production has shown major signs of recovery in 2019. The recent volcano eruption and ash falls have disrupted copra production in the island of Ambae and overall copra production is expected to drop despite the majority of the Ambaeans moving back to the island. Coffee production is doing well, with positive growth expected to continue by late 2019 to meet strong domestic and external demand.

Animal and meat production may reduce slightly over the medium term due to the continuation of the cattle restocking programs from major suppliers of cattle. This removes cattle from larger farms to provide for smallholder cattle farmers within respective provinces, affecting the efficiency of the industry. Natural disasters continue to pose a negative threat on the cattle restocking programs.

Despite the major challenges faced by other major commodities, kava production has ballooned to reach the peak level achieved in 2017 (in terms of both value and quantity). The industry is expected to maintain solid growth throughout 2019 and into 2020 with the assistance of Government and donor projects, through the Ministry of Agriculture, to support production by kava farmers throughout the islands. Partial indicators released by the VNSO in April monthly news 2019 showed kava continued to increase in terms of both quantity exported and value, compared to the first quarter of 2018.

Forestry and fishing are expecting a moderate growth. The Department of Forestry, along with DFAT, continues to distribute seedlings to help the forestry industry to pick up over the medium term. Fishing

is expected to pick up by late 2019 through the assistance of the new South Pacific Commission (SPC)-funded fisheries cooperative building in Port Vila, which should open soon. An increased supply and consumption of fish is expected, once coolers and solar powered equipment have been supplied to local communities.

In other developments, the agricultural sector will greatly benefit from the 11th European Development Fund. The first tranche of this funding has already been received, which will have positive impacts over the second half of 2019 and going into 2020.

Continuing on the theme of environmental protection, the ban of plastic bags and straws by the Government in mid-2018 should create demand for locally woven bags. This should bring more semi-skilled employment opportunities in the design, construction and sale of handicrafts.

Industry Sector

The industry sector consists of three subsectors: manufacturing, construction, and utilities (water and electricity). Growth in this sector has been steady from 2018 to 2019, with continuous infrastructure projects throughout the country.

Vanuatu's manufacturing subsector has great potential to grow over the medium term. The Department of Trade has expanded its office to other provinces including Malampa and Sanma in recent years, in line with the decentralization policy, which is encouraging local manufacturing establishment in these regions. Import substitutes manufactured in Vanuatu, including clothing, beer, water and fibreglass, among others, continue to compete in the market at a limited profit margin due to the regional trade agreements such as MSGTA, WTO and PACER PLUS. Consumption has remained flat from 2018 to 2019 due to the increase of the VAT rate to 15 per cent from January 2018. Thus, it is vital for the Government to continue reviewing relevant policies and legislation to encourage and boost local production in this subsector.

Construction has been one of the major economic activities boosting growth in recent years and most projects have now reached their completion phase, allowing service delivery to take its course. Over the medium term, there are few ongoing projects with new private development projects in the pipeline, supported by private sector development plans. Imports of construction materials, used as a proxy of activity in the construction subsector, has declined by 82.9 per cent in the first three months of this year compared to the same period in 2018.

Developments in the water and electricity subsector are consistent with developments in infrastructure projects, real estate developments and commercial private sector. The sealing of roads in Tanna and Malekula has allowed UNELCO to extend power lines to communities in Tanna across the project location, while the rural electrification project has allowed rural communities access to electricity. The URA works with the Department of Water to regulate small scale water supply providers where the Government will acquire some assets of UNELCO to efficiently manage it.

Services Sector

The services sector expects slight growth from 2018 to 2019 supported by the shared vision 2030 boosting tourism activity. Numbers of tourists arriving by air and staying at major hotels and resorts have shown an increase in 2019 compared to last year. Moreover, the increasing number of forward bookings has been driven by the increased number of Air Vanuatu flights to twice a week and the addition of the route to Melbourne. Real estate continues to show low growth due to the business environment conditions and government policy on labour law. The wholesale and retail market suffered from low demand in the economy, partly due to the completion of infrastructure projects and low copra

price. The Department of Cooperatives recorded a declining number of active cooperatives across the country driven by the mismanagement of cooperatives and AFIC liquidation. The banking and finance industry reported a narrow profit margin amidst high liquidity in the banking system, owing to the uncertainties in the Government's plans for taxation policies.

Early this year, the Vanuatu Tourism Office (VTO), partnering with Airports Vanuatu Limited and Airports Vanuatu (Operations) Limited launched the *Shared Vision 2030* plan to stimulate economic activity and development through increasing visitation and marketing of Vanuatu. Over the medium term, arrivals of tourists to Vanuatu are forecast to rise. Tourist arrivals maintained solid growth in 2018 with the total number of tourist arrivals expanding by 5.27 per cent on 2017 figures. The additional flights to Auckland and Melbourne should boast air arrivals by the end of 2019. There is also an increase in the forward bookings this year compared to in 2018. The new call centre in Tafea province will also enable more bookings, especially from long haul countries, such as Europe and Asia, as well as from established markets in Australia, New Zealand and New Caledonia. Over the medium term, the completion of upgrades to the wharves in Port Vila and Luganville will also boost the number of tourists arriving for the day on cruise-ships.

Turning to the retail and wholesale sector, there is a declining trend of purchasing power from consumers relative to businesses, partly due to the completion of infrastructure projects and the low price of copra. Low demand in the economy was also driven by competition among the retail and wholesale businesses. The 2.5 percentage point increase in the VAT rate has partially offset the increase in income following the increase in public wages and salaries; meanwhile the uncertainty around the future taxation policy remains a disincentive to investors' plans. The fiscal policy stance continues to inject needed stimulus to domestic demand for goods and services throughout this year.

The SWP and RSE schemes in Australia and New Zealand have established positive impacts on the domestic economy, where seasonal workers come back and use their salary to contribute to various business activities. The current conditions for copra price have induced copra farmers to be more innovative and make informed decisions about the sustainability of their family livelihoods. The recent launch of the financial inclusion project by the Reserve Bank of Vanuatu should continue to induce private and small micro-finance projects within respective communities.

Finally, commercial banks are very liquid but the pricing of market risks and the lack of bankable projects are driving differential lending rates, leading to substantial interest margins being imposed in the market. The uncertainty in the current business environment has forced most commercial banks to tighten credit conditions following the volume of impaired assets and other risks associated with individuals and commercial loans. This has resulted in the trend of private sector credit being contracted despite the introduction of the new commercial bank.

Table 2: Major Economic Indicators (in percent change)

	2011	2012	<i>Actual</i>			2015	2016	<i>Preliminary</i>	<i>Estimate</i>	<i>Forecast</i>	
			2013	2014			2017	2018		2019	2020
Agriculture, Fishing & Forestry	6.1	2.2	4.8	4.2	-	15.8	5.1	0.4	1.2	3.1	4.4
Industry	19.4	-	22.1	9.7	3.5	35.4	4.2	7.1	4.7	11.7	9.7
Services	3.2	4.4	0.1	2.0	2.0	2.9	2.9	2.9	2.5	3.1	
Real GDP Constant price (2006 base year)	1.2	1.8	2.0	2.3	0.2	3.5	4.4	2.8	3.4	4.0	
GDP Deflator	4.7	0.2	0.3	2.6	4.9	1.8	5.1	2.3	2.6	3.7	
Nominal GDP (current prices)	4.4	2.2	4.7	4.9	5.0	5.4	8.8	5.1	6.3	7.8	
World Growth	4.2	3.5	3.4	3.5	3.4	3.1	3.8	3.6	3.2	3.5	

Source: IMF WEO July 2019, Vanuatu National Statistics Office & Macroeconomic Committee (MEC) estimates

AGGREGATE DEMAND

Gross Fixed Investment

Total gross fixed investment began to slow down over the first half of 2018 and this is estimated to continue throughout 2019 as most public investment projects start to wind down.

Despite a contraction of an estimated 47.9 per cent in 2018, public investment is expected to achieve positive growth in 2019, while private investment is expected to remain buoyant growing by 7.9 per cent in the first six months of 2019. A slowdown in public investment is expected as major construction projects are now reaching completion stages. These trends in public and private investments are expected to remain over the rest of the year, with investment (public and private) contributing an estimated growth of 3.1 percentage points to the projected 3.2 per cent economic growth forecasted in 2019. Meanwhile, a turnaround in investment activity is expected following an anticipated boost in additional public investment as the government maintain its expansionary fiscal policy towards infrastructure development. Most of these investments are already earmarked with budgetary provisions set aside in 2019 with likely implementation expected over the medium term.

Consumption

Growth in consumption was estimated to be 1.7 per cent over the first six months of 2019, following the increase in the government in early 2018. Public consumption achieved 19.5 per cent growth in 2018 before contracting by 0.5 per cent in 2019. Private sector consumption also reflected similar trend to public consumption in 2019 as household demand eases off from its 2018 peak. Private consumption is expected to moderate by 0.5 per cent in the first half of 2019 as the impact of the rise in value added tax (VAT) of 2.5 percentage points normalises.

The current level of consumption demand is reflected by the stable price level as the RBV manage products to keep the inflation rate below 4 per cent. However, with the continuous expansionary fiscal policy, a temporary rise in the price level can also be a challenge in the short run. Conversely over the medium term, public consumption is forecast to return to normality while private consumption is projected to achieve strong growth, stemming from private sector wages realigning themselves with public sector wages on the back of a sticky wage environment. As construction activity weakens over the medium term combined with the excess labour supply in the market, the labour market is expected to correct itself and get back to full potential.

Total Demand

Total domestic demand is projected to ease off by 4.4 per cent in 2019; after the projected hard landing of 19.2 per cent in investment. The easing growth in investment in 2018 to 2019 follows the expected slowdown in public investment. Despite the 1.7 per cent increase in consumption over the first six months of 2019, the contraction in investment is more pronounced, impacting total domestic demand. In light of policy direction and the need to carefully balance the benefits of economic growth, the recent construction boom experienced over the last two years is likely to be unsustainable; calling for greater responsible management in the sequencing of future projects so that the macroeconomic implications are evenly distributed, which should boost household utility and welfare.

Net Exports

With the expected normalisation in construction activity, net exports have continued to be negative. This trade deficit has been driven mostly by imports of construction related materials, which are expected to rise by 20.0 per cent. On the contrary, exports of goods and services are likely to insulate the net export sector by roughly 7.0 per cent driven mostly by the expected recovery in foreign demand, particularly employment conditions, to sustain the level of disposable income. Tourism is likely the main factor driving this growth as global economic conditions continue to show signs of recovery despite the uncertainty surrounding global trade. As external demand rebounds, Vanuatu's production and exports of commodities are likely to increase, driving prices even higher. This may be cushioned by the much-improved supply of international fuel, forcing output costs in particular firms profits to be moderately at break-even. This may create social uncertainties adding more pressure on public finances, at a time when the livelihoods of large segments of the population are already threatened.

MONETARY UPDATE

Money Supply

Banking sector activities have gradually picked up since the end of 2018, up to the first four months of 2019. This is reflected in the steady increase in money supply (M2) during the first four months of 2019. Money supply (M2) reached VT 93,598.9 million at the end of April, higher by 10.3 per cent over the year to April 2019, though growth was lower compared to 12.6 per cent over the year to March 2019. In line with money growth, the banking industry capital and liquidity holdings are maintained well above the regulatory minimum requirement of 12 per cent and 5.0 per cent, respectively. This suggests that there is room for economic growth and investment supported by sound monetary and economic stability.

Money growth was largely driven by net foreign assets (NFA). The surge in NFA continues to reflect the accumulation of net inflows of foreign exchange in the banking system. Both the Reserve Bank and Other Depository Corporations recorded net inflows of foreign exchange throughout the first four months of 2019, thus further elevating the growth in NFA. Domestic credit continued to remain subdued despite a slight pickup in private sector credit. The downward trend in domestic credit was due largely to the improvement in the Government's net credit position with the banking system which offsets the gradual growth in private sector credit. Private sector credit grew by 2.2 per cent over the year to April 2019 owing mostly to increasing loans for household and personal consumption. Growth in Business loans remained stagnant, reflecting uncertainties surrounding the implementation of the government tax policies, weak domestic demand, and other structural issues.

In terms of components breakdown, growth in M2 during the first four months of 2019 was driven by both narrow money (M1) and quasi money. Narrow money growth was driven by increases in both currency in circulation and transferable deposits, reflecting the upward trend in personal consumption. Similarly, growth in quasi-money, reflected the accumulation of interest bearing deposits of Public non-financial corporations and the Central Government.

Interest rate

Interest rates in Vanuatu are always characterised by very high lending rates and low deposit interest rates. Interest rates spread further widened from 8.90 per cent in April 2018 to 9.22 per cent in April 2019. The widening of the interest rate spread was attributed by the combine effects of the decline in

weighted average deposit rates and the increase in weighted average lending rates over the year to April 2019.

The RBV continued to maintain an accommodative monetary policy stance throughout 2018 and up to June 2019. The Bank's policy rate remained at 2.90 per cent, while its Statutory Reserve Deposits ratio and the Liquid Asset Ratio continued to be maintained at 5.25 per cent and 5.0 per cent, respectively.

Inflation

Headline inflation remained well within the RBV's 0-4 per cent target range in March quarter 2019. Annual headline inflation rose from 1.9 per cent in the fourth quarter of 2018 to 2.1 per cent in the first quarter of 2019. A lagged impact of increased fuel prices contributed to increased transport, and housing and utility prices, while recent pickup in domestic prices of fruits and vegetables contributed to food price inflation. Inflation in 2018 was driven by the one-off effect of the increase in the Value Added Tax (from 12.5% to 15%) introduced since January 2018. However, this increase was offset by reduced education prices, despite increased public wages and salaries, demand pressures remain therefore subdued. In 2019, inflation is expected to remain low with upside risk predominantly driven by domestic food prices. Both, the subdued imported prices and the gradual reduction in construction activities, are the downside risks to the inflation forecasts. International fuel prices declined 8.9 per cent over the year to US\$67 per barrel in May 2019, however fuel prices are always sticky in Vanuatu, with low international fuel prices having very minimal pass through effect. Further changes in government policy decision on fees and charges, and market conditions also remain a determining factor of price movements in the medium term. Vanuatu's fixed exchange rate regime will continue to anchor inflation in the medium-term, as the year-on-year headline inflation is forecasted to remain stable in 2019 and 2020. The year-ended inflation forecast is expected to remain within the mid-range of the 0-4 per cent target bound in 2019 and 2020.

EXTERNAL SECTOR UPDATE

The Vanuatu Balance of Payments (BOP) recorded a surplus of VT 1.1 billion at the end of March 2019. This improvement stemmed from surpluses recorded for both the Current Account Balance (CAB) and Capital Account Balance. The improvement in CAB is supported by robust income through revenue of the general government and the seasonal workers program. These good performances offset the huge import bills and retained earnings of foreign enterprises. Exports dropped by 34 per cent quarter-on-quarter reflecting low international prices on major export commodities. Kava earnings which are the highest export commodity earnings, decreased by 10 per cent.

On the import side, all major imports of goods recorded decreases. The capital account which comprises mainly of donor grants for capital projects, maintained a surplus, supported by current projects as well as expected investment projects in the short to medium term. The financial account in contrast recorded a deterioration owing to reduction in other investments placed with Deposit taking Institutions and non-financial institutions abroad.

Following the above mentioned developments, official reserves remain above the threshold level of 4 months of import cover at 12.2 months at the end of the March 2019. Official reserves are expected to remain sustainable and manageable in the short to medium term, owing mainly to net inflows from other fees and charges revenue for the government and seasonal workers remittances. However, external loan repayments and imports will continue to remain a constraint on foreign reserves.

Vanuatu's international position vis-à-vis its trading partners is likely to remain comfortable noting that the forecast domestic demand conditions are expected to push import bills higher given the strengthening of the USD thereby affecting Vanuatu's projected level of official reserves.

Exchange Rate

Movements of the Vatu vis-à-vis the major currencies echoed developments in the economic and financial conditions of our major trading partners. At end March 2019, the Vatu appreciated against the US dollar and NZ Dollar by 0.7 per cent and 6.5 per cent respectively over the month. The Vatu lost ground to the AU dollar by 0.3 per cent and Euro by 0.6 per cent.

Vanuatu's real effective exchange rate further depreciated by 0.34 per cent over the first quarter of 2019. This was due to a strong depreciation of the VATU against the US dollar offsetting Vanuatu's higher price performance against its major trading partners. This implies that Vanuatu's international competitiveness further improved relative to the December quarter of 2018.

The RBV continues to intervene in the financial markets by; appropriately aligning the VATU against its major currency partners and pursuing a stable nominal effective exchange rate in support of the current level of healthy foreign reserves in the banking system.

FISCAL UPDATE 2019

Revenue

Government revenue has been so strong thus far in 2019 that June's supplementary budget included a VT 2 billion increase in expected revenue. However this belies weaker performance on revenue from many taxes. In 2018, revenue from the honorary citizenship programs overtook that of VAT for the first time. The Government remains careful not to rely on the income stream from the honorary citizenship programs and is working on implementing the Tax Administration Act to make collection of tax revenue more efficient.

In 2018, revenue collections exceeded the budget target by 31.5 per cent. The Ministry of Finance and Economic Management (MFEM), Ministry of Internal Affairs (MoIA) and the Citizenship Office recorded higher than budgeted revenue targets in 2018. In 2019, Government revenue recorded VT 15,556.7 million at the end of June, representing 55.6 per cent of the revised budget target of VT 28,001.3 million and 6.1 per cent more than the VT 14,665.2 million collected during the same period a year ago.

MFEM continues to see growth in revenue from taxes, fees and charges collected by the Department of Customs and Inland Revenue (DCIR). VAT collection in 2018 was more than previous years as a result of the 2.5% increase in VAT rate. VAT continues to be the major source of tax revenue in 2019, collecting VT 4,116.3 million by the end of June. This represents 47.1 per cent of the budget target of VT 8,738.8 million and 2.1 per cent more than the VT 4,033.2 million collected during the equivalent period last year.

Taxes on international trade and transactions constituting import duties and exports duties are the second main source of Government revenue, collecting VT 1,578.1 million during the first six months of this year. This is equivalent to 39.5 per cent of the budget target of VT 3,990.8 million and is 6.4 per cent less than VT 1,685.1 million collected during the first six months last year. Excise tax recorded

VT 1,215.9 million to date, which represents 42.1 per cent of the budget target (VT 2,889.8 million) and is 4.1 per cent less than the VT 1,267.4 million collected during the same period last year.

The strong revenue collection by the DCIR is linked to the Department's implementation of its functional model in terms of its new operational design since 2017. This has improved DCIR's compliance and also seen strong revenue collection from import and export duties and related excise taxes. The recently enacted Tax Administration Act and its consequential amendments are expected to further improve DCIR's way of doing business and should improve revenue collections.

Among other revenue constituting fees and charges, the Citizenship Office has had success in its Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP). Exceeding budget target by 371.5 percent, total revenue earned from the programs in 2018 outweighed the government's top revenue earner for the past decades – VAT collections. Together, VCP and VDSP collected VT 5,364.6 million by the end of June 2019. This is 82.5 per cent of the revised budget target of VT 6,504.6 million and is 16.4 per cent more than the VT 4,610.6 million revenue from VDSP and VCP during the same period last year.

The Government continues to gratefully acknowledge its donor partners for their assistance. At the end of June, the Government received VT 4,671.0 million worth of grants from its development partners. The major sources of grant assistance include the World Bank (VT 2,511.5 million), Australia (VT 625.8 million), ADB (VT 482.9 million), New Zealand (VT 280.0 million) and Japan (VT 102.0 million).

Expenditure

Government expenses in the first six months of 2019 totalled VT 11,916.8 million which is equivalent to 45.9 per cent of the budget target of VT 25,937.3 million and is 14.3 per cent more than the VT 10,423.3 million recorded during the same period in 2018. The increase was partially due to the execution of the supplementary budget of VT 6,447.7 million appropriated in June this year.

This year the Government continues to implement some expenditure control measures which have kept government expenditure in line with the budget target. However, there are some major expenditure items that have incurred overspending against their budget as at the end of June. These expenditure items include

- *Responsibility allowance (VT 15.5 million against an annual budget of VT 0.1 million)*
- *Road plant hire (VT 34.5 million against zero budget)*
- *Vehicle hire (VT 14.2 million against an annual budget of VT 6.8 million)*
- *Airport cleaning (VT 19.5 million against zero budget)*
- *International Organisations (VT 203.0 million against an annual budget of VT 164.1 million)*
- *Other suppliers (VT 14.0 million against an annual budget of VT 3.1 million)*
- *CBC Road repairs and maintenance (VT 20.8 million against zero budget)*

Net acquisitions of non-financial assets totalled VT 399.4 million up to June 2019, only 10.5 per cent of the revised annual budget of VT 3,815.9 million¹. The net amount spent in the first six months of this

¹ The supplementary budget appropriated in June 2019 included a VT 2 billion loan from the Government to Air Vanuatu for the purchase of new aeroplanes. DoFT calculates net acquisition of financial assets (e.g. loans) as a balancing item in the Government Financial Statistics (GFS) recording system, rather than being based on actual transactions, so this VT 2 billion has been categorised under net acquisition of non-financial assets in the revised 2019 budget.

year is more than double the VT 197.3 million spent on net acquisitions of non-financial assets in the same period of 2018.

As of the end of June, expenditure financed by donors has totalled VT 1,989.2 million. This represents 27.9 per cent of the budget target of VT 7,122.7 million and is 0.8 per cent higher than the VT 1,973.9 million recorded during the first six months last year.

Financing

At the end of June, the net operating balance for Government operations (excluding donor funding) was VT 3,639.9 million. This is 14.2 per cent less than the VT 4,242.0 million recorded at the end of June 2018.

Excluding donor funding, the Government recorded a fiscal surplus of VT 3,240.6 million at the end of June. This is 19.9 per cent less than the fiscal surplus of VT 4,044.6 million recorded at the end of June last year.

As of the end of June, the Government has amortized VT 262.1 million worth of domestic loans and VT 266.6 million worth of external loans. Following the approval of the supplementary budget, an additional VT 1.5 billion will be used to repay external debt owed to China in advance, on top of normal budgeted debt service payments.

Revenue and Tax Policy

With the need to raise substantial revenue to fund essential services as a priority, the Government continues in its efforts to raise sufficient revenue.

In the international arena, Vanuatu continues in its obligations to meet international standards in good tax practices. This includes those set by the OECD's Global Forum on Transparency and Exchange of Information for Tax purposes (Global Forum) and the European Union's Code of Conduct Group (EU CoCG). It's important that the Government must be seen as making necessary effort to address its international obligations to avoid further implications for non-compliance.

The Government has done tremendous effort in 2018 and also during the first 6 Months of 2019 to fulfil its requirements but still maintains a partially compliant Rating in its overall achievements to meet its OECD Global forum requirements. Vanuatu was seen to have not done enough to meet the required standards in particular, accounting record keeping (Element A2) and was rated very low. This overall rating was again reaffirmed during the recent Global Forum Meeting in Paris in July of 2019 which Vanuatu also attended. Having said that, the Vanuatu Competent Authority has commenced preparation towards addressing the real issues and has already taken measures to work with all its stakeholders including the Department of Customs and Inland Revenue (DCIR), Vanuatu Financial Services (VFSC), Vanuatu Financial Intelligence Unit (VFIU) and the Reserve Bank of Vanuatu (RBV) to address these areas. Vanuatu will also sought additional external support to assist in addressing the need. Vanuatu will then have to request for another supplementary review once all required reforms are satisfactory. Its rating will then be reassessed in light of these reforms.

In relation to the EU Code of Conduct (EU COCG) assessments for Vanuatu, in February 2019, EU Finance Ministers have updated their list of non-cooperative tax jurisdictions and concluded that Vanuatu again has not taken sufficient steps to fulfil its commitments, and was downgraded to 'black list' status. Major reforms which includes the recently gazetted Tax Administration Act and consequential amendments will certainly help with the EU requirements. However more concrete reforms needs to be seen in addressing the concerns raised in particular the substantive Economic

presence for all Financial Institutions. The Vanuatu Competent Authority will continue to work together with its core stakeholders to address these issues.

Modernisation, Tax Administration Act and Non-Tax Revenue Review

The priorities for MFEM's Revenue Policy Unit in 2019 are 1) to implement the recently passed Tax Administration Act (TAA) with the aim of ensuring an effective and efficient revenue administration and 2) to review the non-tax revenue to eliminate inefficient fees and charges.

Modernising DCIR operations is a key feature of the revenue reforms. Great efforts have been made to build capacity and operational strength over recent years. The TAA, which will become fully effective in January 2020, supports the Government's initiative to modernise the DCIR and provides for uniform procedural rules to taxes administered by DCIR. The TAA consultations with key taxpayers and stakeholders are scheduled for August 2019. The TAA provides for DCIR's service-based model where taxpayers are helped to meet their obligations, electronic lodgement and payments, risk based compliance management, client charter, code of conduct and performance standards, introduction of annual reporting against key performance indicators, modernised electronic services, enhanced customs procedures aimed at improving trade facilitation, and modern appeal and review procedures.

The Government is also working on reviewing all non-tax fees and charges with the objective that all fees and charges are well managed, efficiently collected and aligned with the Government's strategic objectives.

Outstanding Revenue

The Council of Ministers (COM) instructed DCIR to recover outstanding VAT debt from State Owned Enterprises and Businesses, and to implement strategies to ensure their future compliance in their Decision in June 2017. In responding to this COM Decision the DCIR embarked on an in-depth operation to recover the current VAT Outstanding. In relation to this, DCIR has made the following progress since 2018:

1. Wholly owned SOE arrears have reduced by 98% throughout 2018, while in 2019 debt has reduced by 78% as at 31st March 2019. Overall, outstanding returns have reduced by 96%.
2. Not much has been done with partly-owned SOEs. The advice from State Law Office in December 2018 confirms that these entities are not to be treated differently but are obliged to lodge VAT returns to the government. It is anticipated that actual compliance activities will commence later in 2019 and into 2020.
3. Core VAT owing has been maintained at an average of VT 1.5 million over the last twelve months indicating a good level of compliance.
4. DCIR also confirmed that the number of non-filers was reduced drastically in October 2018.
5. So far DCIR has prosecuted four cases, with a total outstanding of over VT 100 million. The first case has been completed, in which the government recovered the total outstanding tax of VT 10 million. There are still no reported court cases for 2019 and five cases were yet to be registered for court hearing by the Public Prosecutors Office (PPO).

With regards to outstanding fees and charges (non-tax revenue) over VT 130 million worth of outstanding has been approved by MFEM to be written off. The ‘National Write-off Committee’ has concluded that it is not possible for the Government to recover these outstanding amounts. The Ministry also confirms that a similar exercise will continue throughout the course of 2019 and the Committee will continue to work with each individual Ministry to assess current outstanding and provide recommendations accordingly. It is anticipated that ongoing reduction will be seen in the amount of outstanding revenue the government is owed throughout the medium term.

Public Debt

To invest in Vanuatu’s future, the Government has been carrying out an ambitious infrastructure program for the last 5 years, alongside development partners. TC Pam delayed this process and required further projects to reconstruct and improve the damaged roads, schools, utilities and other infrastructure throughout all provinces. These projects are funded through both grants and highly concessional loans. As such, due to the new level of infrastructure related debt, Vanuatu has been adhering to its debt management strategies and have been very successful at it, thus far.

The stock of debt per year has almost doubled since 2015, but the Government has ensured that this expansion is managed carefully. According to the IMF’s Article IV report completed in March 2019, Vanuatu’s debt carrying capacity remains moderate.

With the current level of total public debt, new infrastructure projects will need to be prioritized. In fact, all loans will need to be limited and prioritised, particularly loans with less concessional terms. As there is crucial need for sustainable and reliable fiscal buffers to weather any unprecedented shocks or natural disasters in the coming years. Any new loans must continue to have highly concessional financing terms or be fully financed by grants. Greater scrutiny, feasibility assessment and proper processes need to be fulfilled to ensure any new loans provide for sufficient economic and social returns for both the country and for repayments.

Debt Management Milestones

For the very first time in the history of Vanuatu and the South Pacific as a whole, the Government has begun reducing debt levels by advanced payment (or prepayment) of loans due to improved fiscal conditions. The Government made the first prepayments in 2018, and in 2019, the Government was able to make further prepayments, bringing down both domestic and external debt stock. In the first half of 2019, the Government has prepaid VT 1.5 billion worth of external debt owed to China and had also reduced domestic debt by fully repaying and retiring VT 672.9 million worth of domestic bonds that matured in June this year. Planned prepayments on total public debt for this year as a whole should be over VT3 billion.

The Debt Management Unit (DMU) has been working on improving its current Debt Framework. This includes guidelines for operational processes, a new Debt Management Strategy (DMS), On-lending & Guarantee policies and among others, the Financial Regulations capturing these significant debt policies. Major pieces of work that are being or have been completed are the new LIC Debt Sustainability Analysis (DSA), which is under the Joint World Bank-IMF Debt Sustainability Framework for Low-Income Countries, and the Medium Term Debt Framework.

The first Debt Management Strategy (DMS) for Vanuatu was made a few months after TC PAM occurred, which has now been used for three and a half years. The second debt management strategy was prepared during the second quarter this year with technical assistance from the World Bank. This will provisionally be approved by the end of July this year and will cover the years 2019 to 2022.

The Public Financial & Economic Management Act is also undergoing review to make for appropriate, necessary amendments. Hence, significant debt policies and guidelines (particularly from the DMS), have been inserted into the new Financial Regulations and the principal legislation itself to ‘give teeth’ to the debt policies. Thus, stringent and transparent adherence to debt management strategies must always be upheld.

DMU is also currently utilizing the new LIC Debt Sustainability Analysis Tool that was jointly launched in June 2018 by the IMF & World Bank. DMU has undergone relevant training on utilizing the tool for better efficiency, and will continue to update this working knowledge as needed. Additionally, with technical assistance and relevant training from the World Bank, the DMU plans to establish the Medium Term Debt Management Strategy Framework by the end of this year. This framework will assist in developing a sound DMS for prudent debt sustainability and will enhance debt risk management.

Looking to the next six months, Vanuatu must continue to preserve fiscal space and safeguard debt sustainability in the face of growing development needs and vulnerability to natural disasters. The DMU will continue to ensure that decision makers are aware of the new Debt Management Strategy and adhere to it e.g. borrowing only for infrastructure projects that are highly concessional with the minimum 35% grant element and for projects that can generate economic returns to benefit the country as a whole as well as assisting the government in its loan repayments. In the longer term, the Government must be cautious with future major infrastructure projects to prevent rapid debt accumulation. It should also maintain the fiscal buffer and foster economic growth to ensure debt service payments can be made.

Table 3: Statement of government operations excluding donors using GFS01 classification, January to June 2019

STATEMENT OF GOVERNMENT OPERATIONS EXCLUDING DONORS										
GFS Code	GFS Description	Budget 2019	Total (VT mn)	%	January	February	March	April	May	June
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	28,001.3	15,556.7	55.6%	3,406.8	2,223.1	2,409.7	2,546.7	2,392.8	2,577.6
A11	Taxes	19,188.6	9,058.3	47.2%	2,097.3	1,468.5	1,343.9	1,455.8	1,302.5	1,390.4
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	714.4	297.6	41.7%	28.6	50.0	47.0	64.5	59.4	48.1
A114	Taxes on goods & services	14,483.5	7,182.6	49.6%	1,840.0	1,147.3	1,023.8	1,138.4	956.1	1,077.1
	of which		0	0.0%	0	0	0	0	0	0
	Value Added Tax	8,738.8	4,116.3	47.1%	842.9	699.4	616.6	675.1	632.4	649.9
	Excise	2,889.8	1,215.9	42.1%	171.2	234.9	205.9	205.7	178.8	219.2
A115	Taxes on international trade & transactions	3,990.8	1,578.1	39.5%	228.8	271.2	273.0	252.9	287.0	265.2
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	-	-	0.0%	-	-	-	-	-	-
A14	Other revenue	8,812.7	6,498.4	73.7%	1,309.5	754.6	1,065.9	1,090.9	1,090.3	1,187.2
A2	Expense	25,937.3	11,916.8	45.9%	1,633.0	2,295.1	2,184.2	1,699.1	2,043.7	2,061.6
A21	Compensation of employees	14,675.7	6,343.9	43.2%	869.4	967.4	1,007.7	975.1	1,432.7	1,091.6
A22	Use of goods and services	5,347.3	2,340.5	43.8%	363.7	322.5	519.3	413.6	406.0	315.5
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	736.4	406.4	55.2%	24.2	(0.0)	189.2	75.4	22.1	95.6
A25	Subsidies	187.8	73.3	0.0%	6.6	18.4	2.0	24.7	18.8	2.7
A26	Grants	2,804.4	1,456.5	51.9%	103.9	490.3	122.3	175.6	98.4	465.9
A27	Social benefits	576.5	470.2	81.6%	199.4	18.0	207.0	10.9	23.4	11.5
A28	Other expense	1,609.1	826.0	51.3%	65.8	478.5	136.8	23.9	42.3	78.7
GOB	Gross operating balance (1-2+23+NOBz)	2,064.0	3,639.9	0.0%	1,773.7	(72.0)	225.5	847.6	349.1	516.0
NOB	Net operating balance (1-2+NOBz)	2,064.0	3,639.9	0.0%	1,773.7	(72.0)	225.5	847.6	349.1	516.0
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	3,815.9	399.4	10.5%	34.4	50.2	33.9	91.0	54.3	135.6
A311	Fixed assets	3,815.9	399.4	10.5%	34.4	50.2	33.9	91.0	54.3	135.6
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(1,751.8)	3,240.6	0.0%	1,739.4	(122.2)	191.6	756.5	294.8	380.4
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
A32	Net acquisition of financial assets	(4,447.7)	2,711.9	0.0%	1,731.7	(146.6)	10.2	756.5	266.5	93.6
A321	Domestic	(4,447.7)	2,711.9	0.0%	1,731.7	(146.6)	10.2	756.5	266.5	93.6
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A323	Monetary gold and SDRs	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	(2,695.9)	(528.6)	19.6%	(7.6)	(24.4)	(181.5)	-	(28.3)	(286.9)
A331	Domestic	-	(262.1)	0.0%	-	-	-	-	-	(262.1)
A332	Foreign	(2,695.9)	(266.6)	9.9%	(7.6)	(24.4)	(181.5)	-	(28.3)	(24.8)

Table 4: Statement of government operations funded by donors through the central Treasury account, using GFS01 classification, January to June 2019

STATEMENT OF GOVERNMENT OPERATIONS WHICH ARE FUNDED BY DONORS THROUGH THE CENTRAL TREASURY ACCOUNT										
GFS Code	GFS Description	Budget 2019	Total (VT mn)	%	January	February	March	April	May	June
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	7,122.7	4,671.0	66%	1,116.1	653.6	640.7	1,377.2	261.5	622.0
A11	Taxes	-	-	0%	-	-	-	-	-	-
A111	Taxes on income, profits, and capital gains	-	-	0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0%	-	-	-	-	-	-
A113	Taxes on property	-	-	0%	-	-	-	-	-	-
A114	Taxes on goods & services	-	-	0%	-	-	-	-	-	-
	of which	-	-	0%	-	-	-	-	-	-
	Value-Added Tax	-	-	0%	-	-	-	-	-	-
	Excise	-	-	0%	-	-	-	-	-	-
A115	Taxes on international trade & transactions	-	-	0%	-	-	-	-	-	-
A116	Other taxes	-	-	0%	-	-	-	-	-	-
A12	Social contributions	-	-	0%	-	-	-	-	-	-
A13	Grants	7,122.7	4,671.0	66%	1,116.1	653.6	640.7	1,377.2	261.5	622.0
A14	Other revenue	-	-	0%	-	-	-	-	-	-
A2	Expense	7,122.7	1,989.2	27.9%	584.2	243.1	224.0	299.3	286.7	351.8
A21	Compensation of employees	482.7	109.8	23%	12.0	14.7	22.6	17.5	27.2	15.8
A22	Use of goods and services	4,438.3	1,718.9	39%	572.2	173.7	200.1	280.2	185.9	306.8
A23	Consumption of fixed capital	-	-	0%	-	-	-	-	-	-
A24	Interest	13.3	-	0%	-	-	-	-	-	-
A25	Subsidies	-	-	0%	-	-	-	-	-	-
A26	Grants	1,652.2	57.5	3%	0.0	54.6	0.4	-	-	2.4
A27	Social benefits	490.7	102.8	21%	(0.0)	-	0.8	1.5	73.6	26.8
A28	Other expense	45.5	0.1	0%	-	0.1	-	-	-	-
GOB	Gross operating balance (1-2+23+NOBz)	-	2,681.9	0%	531.9	410.4	416.7	1,077.9	(25.2)	270.2
NOB	Net operating balance (1-2+NOBz) ^{a/}	-	2,681.9	0%	531.9	410.4	416.7	1,077.9	(25.2)	270.2
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	7,845.5	1,858.6	24%	352.4	494.0	85.6	660.2	102.6	163.8
A311	Fixed assets	7,845.5	1,858.6	24%	352.4	494.0	85.6	660.2	102.6	163.8
A312	Change in inventories	-	-	-	-	-	-	-	-	-
A313	Valuables	-	-	-	-	-	-	-	-	-
A314	Nonproduced assets	-	-	-	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(7,845.5)	823.2	-10%	179.5	(83.6)	331.0	417.7	(127.8)	106.4
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
A32	Net acquisition of financial assets	-	823.2	0%	179.5	(83.6)	331.0	417.7	(127.8)	106.4
A321	Domestic	-	823.2	0%	179.5	(83.6)	331.0	417.7	(127.8)	106.4
A322	Foreign	-	-	-	-	-	-	-	-	-
A323	Monetary gold and SDRs	-	-	-	-	-	-	-	-	-
A33	Net incurrence of liabilities	7,845.5	-	0%	-	-	-	-	-	-
A331	Domestic	-	-	0%	-	-	-	-	-	-
A332	Foreign	7,845.5	-	0%	-	-	-	-	-	-

Table 5: Statement of government operation including donor financing (consolidated) using GFS01 Classification, January to June 2019

STATEMENT OF TOTAL GOVERNMENT OPERATIONS										
GFS Code	GFS Description	Budget 2019	Total (VT mn)	%	January	February	March	April	May	June
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	35,124.0	20,227.7	58%	4,522.9	2,876.7	3,050.4	3,923.9	2,654.3	3,199.6
A11	Taxes	19,188.6	9,058.3	47%	2,097.3	1,468.5	1,343.9	1,455.8	1,302.5	1,390.4
A111	Taxes on income, profits, and capital gains	-	-	0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0%	-	-	-	-	-	-
A113	Taxes on property	714.4	297.6	42%	28.6	50.0	47.0	64.5	59.4	48.1
A114	Taxes on goods & services	14,483.5	7,182.6	50%	1,840.0	1,147.3	1,023.8	1,138.4	956.1	1,077.1
	of which									
	Value-Added Tax	8,738.8	4,116.3	47%	842.9	699.4	616.6	675.1	632.4	649.9
	Excise	2,889.8	1,215.9	42%	171.2	234.9	205.9	205.7	178.8	219.2
A115	Taxes on international trade & transactions	3,990.8	1,578.1	40%	228.8	271.2	273.0	252.9	287.0	265.2
A116	Other taxes	-	-	0%	-	-	-	-	-	-
A12	Social contributions	-	-	0%	-	-	-	-	-	-
A13	Grants	7,122.7	4,671.0	66%	1,116.1	653.6	640.7	1,377.2	261.5	622.0
A14	Other revenue	8,812.7	6,498.4	74%	1,309.5	754.6	1,065.9	1,090.9	1,090.3	1,187.2
A2	Expense	33,059.9	13,905.9	42%	2,217.2	2,538.2	2,408.2	1,998.4	2,330.4	2,413.4
A21	Compensation of employees	15,158.4	6,453.7	43%	881.4	982.1	1,030.3	992.6	1,459.8	1,107.4
A22	Use of goods and services	9,785.6	4,059.5	41%	935.9	496.1	719.4	693.8	591.9	622.3
A23	Consumption of fixed capital	-	-	0%	-	-	-	-	-	-
A24	Interest	749.7	406.4	54%	24.2	(0.0)	189.2	75.4	22.1	95.6
A25	Subsidies	187.8	73.3	39%	6.6	18.4	2.0	24.7	18.8	2.7
A26	Grants	4,456.5	1,514.0	34%	103.9	545.0	122.7	175.6	98.4	468.4
A27	Social benefits	1,067.3	573.0	54%	199.4	18.0	207.8	12.4	97.1	38.3
A28	Other expense	1,654.6	826.1	50%	65.8	478.6	136.8	23.9	42.3	78.7
GOB	Gross operating balance (1-2+23+NOBz)	2,064.0	6,321.8	306%	2,305.7	338.4	642.2	1,925.4	323.9	786.2
NOB	Net operating balance (1-2+NOBz)	2,064.0	6,321.8	306%	2,305.7	338.4	642.2	1,925.4	323.9	786.2
	% of GDP		0.0%		0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	11,661.3	2,258.0	0.2	386.8	544.2	119.5	751.2	156.9	299.4
A311	Fixed assets	11,661.3	2,258.0	19%	386.8	544.2	119.5	751.2	156.9	299.4
A312	Change in inventories	-	-	0%	-	-	-	-	-	-
A313	Valuables	-	-	0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(9,597.3)	4,063.8		1,918.9	(205.8)	522.7	1,174.2	167.0	486.8
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
			0.0%		-	-	-	-	-	-
A32	Net acquisition of financial assets	(4,447.7)	3,535.1	0%	1,911.3	(230.2)	341.2	1,174.2	138.7	199.9
A321	Domestic	(4,447.7)	3,535.1	0%	1,911.3	(230.2)	341.2	1,174.2	138.7	199.9
A322	Foreign	-	-	0%	-	-	-	-	-	-
A323	Monetary gold and SDRs	-	-	0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	5,149.6	(528.6)	-10%	(7.6)	(24.4)	(181.5)	-	(28.3)	(286.9)
A331	Domestic	-	(262.1)	0%	-	-	-	-	-	(262.1)
A332	Foreign	5,149.6	(266.6)	-5%	(7.6)	(24.4)	(181.5)	-	(28.3)	(24.8)

Table 6: Statement of Government Operations excluding Donor Financing using GFS01 Classifications, 2016 – 2021

STATEMENT OF GOVERNMENT OPERATIONS Using GFS01 classification		Actual 2016	Actual 2017	Actual 2018	Actual Jan-June 2018	Actual Jan-June 2019	Budget 2019	Forecast 2020	Forecast 2021
GFS Code	GFS Description								
TRANSACTIONS AFFECTING NET WORTH:									
A1	Revenue	20,648.2	22,923.1	30,509.3	14,665.2	15,556.7	28,001.3	29,304.7	30,184.0
A11	Taxes	14,230.9	16,257.3	17,974.9	9,030.1	9,058.3	19,188.6	20,044.1	20,629.9
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	397.8	488.1	565.9	331.8	297.6	714.4	750.6	774.4
A114	Taxes on goods & services	10,674.8	12,235.1	13,720.8	7,013.2	7,182.6	14,483.5	15,100.3	15,529.5
A115	Taxes on international trade & transactions	3,158.4	3,534.1	3,688.3	1,685.1	1,578.1	3,990.8	4,193.1	4,326.0
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	1,003.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A14	Other revenue	5,414.3	6,665.8	12,534.4	5,635.1	6,498.4	8,812.7	9,260.7	9,554.1
A2	Expense	17,808.0	19,390.5	21,966.8	10,423.3	11,916.8	25,937.3	25,020.3	24,864.8
A21	Compensation of employees	8,868.3	9,508.3	12,292.2	5,645.7	6,343.9	14,675.7	14,090.3	14,151.3
A22	Use of goods and services	3,623.3	4,973.8	4,571.2	2,111.0	2,340.5	5,347.3	9,067.5	9,127.9
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	908.0	390.1	1,034.4	476.5	406.4	736.4	943.2	866.4
A25	Subsidies	0.0	0.0	0.0	0.0	73.3	187.8	187.8	187.8
A26	Grants	2,010.2	1,547.3	2,473.8	1,239.3	1,456.5	2,804.4	202.6	202.6
A27	Social benefits	1,535.3	1,773.1	643.6	476.7	470.2	576.5	200.0	0.0
A28	Other expense	862.9	1,197.9	951.6	474.0	826.0	1,609.1	328.9	328.9
GOB	Gross operating balance (1-2+23+NOBz)	2,840.2	3,532.6	8,542.5	4,242.0	3,639.9	2,064.0	4,284.4	5,319.2
NOB	Net operating balance (1-2+NOBz) ^{c/}	2,840.2	3,532.6	8,542.5	4,242.0	3,639.9	2,064.0	4,284.4	5,319.2
TRANSACTIONS IN NONFINANCIAL ASSETS:									
A31	Net Acquisition of Nonfinancial Assets	596.5	719.6	521.8	197.3	399.4	3,815.9	204.5	680.4
A311	Fixed assets	596.5	719.6	521.8	197.3	399.4	3,815.9	204.5	680.4
A312	Change in inventories	-	-	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	-	-	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	-	-	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	2,243.8	2,812.9	8,020.7	4,044.6	3,240.6	(1,751.8)	4,079.9	4,638.8
TRANSACTIONS IN FINANCIAL ASSETS AND									
A32	Net acquisition of financial assets	3,138.5	2,371.1	4,741.4	1,901.1	2,711.9	(4,447.7)	362.2	2,350.2
A321	Domestic	3,138.5	2,371.1	4,741.4	1,901.1	2,711.9	(4,447.7)	362.2	2,350.2
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A323	Monetary gold and SDRs	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	894.7	(441.8)	(3,279.3)	(2,143.5)	(528.6)	(2,695.9)	(3,717.6)	(2,288.7)
A331	Domestic	1,452.6	105.2	(1,815.4)	(1,114.3)	(262.1)	0.0	(1,427.4)	(908.6)
A332	Foreign	(557.9)	(546.9)	(1,463.9)	(1,029.1)	(266.6)	(2,695.9)	(2,290.3)	(1,380.0)

Table 7: Statement of government operations funded by donors through the central Treasury account, using GFS01 classification, 2016 – 2021

STATEMENT OF DONOR OPERATIONS Using GFS01 classification		Actual 2016	Actual 2017	Actual 2018	Actual Jan-June 2018	Actual Jan-June 2019	Budget 2019	Forecast 2020	Forecast 2021
GFS Code	GFS Description								
TRANSACTIONS AFFECTING NET WORTH:									
A1	Revenue	10,270.8	10,858.0	8,369.0	4,214.9	4,671.0	7,122.7	7,745.8	7,434.2
A11	Taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A114	Taxes on goods & services	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A115	Taxes on international trade & transactions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants*	10,270.8	10,858.0	8,369.0	4,214.9	4,671.0	7,122.7	7,745.8	7,434.2
A14	Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A2	Expense	3,941.1	5,692.3	4,004.9	1,973.9	1,989.2	7,122.7	7,745.8	7,434.2
A21	Compensation of employees	238.4	458.3	293.9	134.6	109.8	476.2	578.8	555.5
A22	Use of goods and services	2,492.3	3,402.3	3,156.2	1,385.7	1,718.9	4,435.1	4,719.4	4,529.5
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	0.0	20.3	0.0	0.0	0.0	11.1	0.0	0.0
A25	Subsidies	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A26	Grants	1,207.2	860.3	141.7	78.1	57.5	1,630.2	1,717.3	1,648.2
A27	Social benefits	3.2	949.3	405.6	372.9	102.8	524.4	730.1	700.8
A28	Other expense	0.0	1.7	7.4	2.7	0.1	45.6	0.3	0.3
GOB	Gross operating balance (1-2+23+NOBz)	6,329.7	5,165.7	4,364.1	2,241.0	2,681.9	0.0	0.0	0.0
NOB	Net operating balance (1-2+NOBz) ^{c/}	6,329.7	5,165.7	4,364.1	2,241.0	2,681.9	0.0	0.0	0.0
TRANSACTIONS IN NONFINANCIAL ASSETS:									
A31	Net Acquisition of Nonfinancial Assets	2,493.3	9,116.6	6,036.2	2,807.0	1,858.6	7,845.5	3,726.3	3,184.3
A311	Fixed assets	2,493.3	9,116.6	6,036.2	2,807.0	1,858.6	7,845.5	3,726.3	3,184.3
A312	Change in inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	3,836.4	(3,950.9)	(1,672.1)	(566.0)	823.2	(7,845.5)	(3,726.3)	(3,184.3)
TRANSACTIONS IN FINANCIAL ASSETS AND									
A32	Net acquisition of financial assets	3,836.4	(3,950.9)	(1,672.1)	(566.0)	823.2	0.0	0.0	0.0
A321	Domestic	3,836.4	(3,950.9)	(1,672.1)	(566.0)	823.2	0.0	0.0	0.0
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A323	Monetary gold and SDRs	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	0.0	0.0	0.0	0.0	0.0	7,845.5	3,726.3	3,184.3
A331	Domestic	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A332	Foreign**	0.0	0.0	0.0	0.0	0.0	7,845.5	3,726.3	3,184.3

Table 8: Statement of total government operations including donor financing (consolidated) using GFS01 classifications, 2016 – 2021

STATEMENT OF CONSOLIDATED OPERATIONS Using GFS01 classification		Actual 2016	Actual 2017	Actual 2018	Actual Jan-June 2018	Actual Jan-June 2019	Budget 2019	Forecast 2020	Forecast 2021
GFS Code	GFS Description								
TRANSACTIONS AFFECTING NET WORTH:									
A1	Revenue	30,919.0	33,781.1	38,878.2	18,880.2	20,227.7	35,124.0	37,050.5	37,618.2
A11	Taxes	14,230.9	16,257.3	17,974.9	9,030.1	9,058.3	19,188.6	20,044.1	20,629.9
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	397.8	488.1	565.9	331.8	297.6	714.4	750.6	774.4
A114	Taxes on goods & services	10,674.8	12,235.1	13,720.8	7,013.2	7,182.6	14,483.5	15,100.3	15,529.5
A115	Taxes on international trade & transactions	3,158.4	3,534.1	3,688.3	1,685.1	1,578.1	3,990.8	4,193.1	4,326.0
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	11,273.7	10,858.0	8,369.0	4,214.9	4,671.0	7,122.7	7,745.8	7,434.2
A14	Other revenue	5,414.3	6,665.8	12,534.4	5,635.1	6,498.4	8,812.7	9,260.7	9,554.1
A2	Expense	21,749.0	25,082.8	25,971.6	12,397.2	13,905.9	33,059.9	32,766.1	32,299.0
A21	Compensation of employees	9,106.8	9,966.6	12,586.1	5,780.3	6,453.7	15,152.0	14,669.1	14,706.7
A22	Use of goods and services	6,115.6	8,376.1	7,727.4	3,496.7	4,059.5	9,782.4	13,786.9	13,657.4
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	908.0	410.4	1,034.4	476.5	406.4	747.5	943.2	866.4
A25	Subsidies	0.0	0.0	0.0	0.0	73.3	187.8	187.8	187.8
A26	Grants	3,217.4	2,407.7	2,615.5	1,317.4	1,514.0	4,434.6	1,919.9	1,850.8
A27	Social benefits	1,538.5	2,722.5	1,049.2	849.6	573.0	1,100.9	930.1	700.8
A28	Other expense	862.9	1,199.6	959.1	476.6	826.1	1,654.7	329.1	329.1
GOB	Gross operating balance (1-2+23+NOBz)	9,169.9	8,698.3	12,906.6	6,483.0	6,321.8	2,064.0	4,284.4	5,319.2
NOB	Net operating balance (1-2+NOBz) ^{c/}	9,169.9	8,698.3	12,906.6	6,483.0	6,321.8	2,064.0	4,284.4	5,319.2
TRANSACTIONS IN NONFINANCIAL ASSETS:									
A31	Net Acquisition of Nonfinancial Assets	3,089.8	9,836.3	6,558.1	3,004.4	2,258.0	11,661.3	3,930.8	3,864.7
A311	Fixed assets	3,089.8	9,836.3	6,558.1	3,004.4	2,258.0	11,661.3	3,930.8	3,864.7
A312	Change in inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	6,080.1	(1,138.0)	6,348.5	3,478.6	4,063.8	(9,597.3)	353.6	1,454.5
TRANSACTIONS IN FINANCIAL ASSETS AND									
A32	Net acquisition of financial assets	6,974.9	(1,579.8)	3,069.2	1,335.1	3,535.1	(4,447.7)	362.2	2,350.2
A321	Domestic	6,974.9	(1,579.8)	3,069.2	1,335.1	3,535.1	(4,447.7)	362.2	2,350.2
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A323	Monetary gold and SDRs	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	894.7	(441.8)	(3,279.3)	(2,143.5)	(528.6)	5,149.6	8.7	895.6
A331	Domestic	1,452.6	105.2	(1,815.4)	(1,114.3)	(262.1)	0.0	(1,427.4)	(908.6)
A332	Foreign	(557.9)	(546.9)	(1,463.9)	(1,029.1)	(266.6)	5,149.6	1,436.0	1,804.3